

Section : Accountancy Core

Q.1 Which is not a type of Debenture :-

1. Non-Convertible Debenture
2. Un-Secured Debentures
3. Non-Transferable Debentures
4. Irredeemable Debentures

Options 1. 1

2. 2
3. 3
4. 4

Q.2 Identify which statement is FALSE-

1. In case of no written agreement between partners, a partnership can be started.
2. If a partnership deed does not exist, each partner will share profit in equal ratio.
3. In a partnership deed, the method of settlement of dispute among the partner cannot be included / mentioned.
4. Maximum number of partners in a Partnership Firm must not exceed 50.

Options 1. 1

2. 2
3. 3
4. 4

Q.3 Dissolution of a partnership firm may be ordered by the court on the following grounds:

- (A) when a partner becomes insane.
- (B) when a partner becomes permanently incapable of performing his duties as partner.
- (C) when a partner acts in good faith
- (D) when it is regarded just and equitable by the court.

Choose the correct answer from the options given below:

1. (A) and (D) only
2. (A), (B) and (D) only
3. (D) only
4. (A), (B), (C) and (D)

Options 1. 1

2. 2
3. 3
4. 4

Q.4 After forfeiture of share, the amount transferred to capital reserve is

1. Profit on forfeiture plus loss on reissue of forfeited share.
2. Amount of securities premium debited on forfeiture.
3. Profit on forfeiture minus loss on reissue of forfeited share,
4. Balance of amount not yet called.

Options 1. 1

2. 2
3. 3
4. 4

Q.5 When drawings are made at the beginning of every month for the full year, interest on drawings is calculated for

1. One Year.
2. 6.5 months
3. 6 months.
4. 5.5 months.

Options 1. 1

2. 2
3. 3
4. 4

Q.6 In case of dissolution of a partnership firm, losses, including deficiencies of capital, shall be paid first out of.....

1. Capital of partners
2. Profits
3. Partners individual contribution in their profit sharing ratio
4. Borrowings

Options 1. 1

2. 2
3. 3
4. 4

Q.7 Match List-I with List-II

List-I

(TYPES OF COMPANY)

(A) unlimited company

(B) one person company

(C) private company

(D) company limited by guarantee.

List-II

(CHARACTERISTICS)

(i) liability arises only in the event of winding up

(II) limits the number of members to 200

(III) paid up capital is not more than 50 lakhs

(IV) creditors can claim their dues from the members.

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (IV), (B) - (III), (C) - (II), (D) - (I)
3. (A) - (IV), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.8 Match List-I with List-II

List-I

(A). Compulsory Dissolution

(B). Dissolution by notice

(C). Dissolution by Court

(D). Dissolution on certain contingencies (IV). Partnership at will.

List-II

(I). Partner becomes insane.

(II). Death of a partner

(III). Business become illegal.

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)
3. (A) - (II), (B) - (I), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.9 The account which is not used in journal entry of the forfeiture of shares is:

1. Share capital account.
2. Capital reserve account.
3. Securities premium account.
4. Calls in arrears account.

Options 1. 1

2. 2
3. 3
4. 4

Q.10 In the case of retirement of a partner, the item to be deducted from partner's capital account is.

1. Interest on capital.

2. Profit on revaluation.
3. Share of general reserve.
4. Share of accumulated loss.

Options 1. 1

2. 2
3. 3
4. 4

Q.11 A, B, and C were in partnership, sharing profits in the ratio of 3:2:1 respectively, B retires and the new profit sharing ratio between A and C is 3:2. The gaining ratio is.

1. 3:7.
2. 7:3
3. 3:2.
4. 2:3.

Options 1. 1

2. 2
3. 3
4. 4

Q.12 The steps followed for calculating interest on drawing in the product method are.

- (A) Calculate number of month for which interest is due on each drawing
- (B) List down amount of drawing in decending order in a table..
- (C) find the total of product and apply the formula to calculate interest on drawing.
- (D) Calculate product for each drawing by multiplying amount and number of month.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (B), (D), (C)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.13 Various accounting aspects involved on retirement or death of a partner are as follows

- (A) Adjustment in respect of unrecorded assets and liabilities
- (B) Treatment of goodwill
- (C) Preparation of Realization A/c
- (D) Preparation of Executor's A/c

Choose the correct answer from the options given below:

1. (A), (B) and (C) only
2. (A), (B) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.14 Profit on reissue of shares is transferred to

1. Security premium account
2. Statement of profit and loss
3. General reserve
4. Capital reserve

Options 1. 1

2. 2
3. 3
4. 4

Q.15 When Calls in Advance Account is adjusted..... is credited and..... is debited.

1. Respective call A/c, Calls in Advance A/c
2. Share Capital A/c, Respective Call A/c
3. Calls in Advance A/c, Bank A/c
4. Calls in Advance A/c, Respective Call A/c

Options 1. 1

2. 2
3. 3
4. 4

Q.16 The rate of interest on calls in arrears as per Table F can not exceed.

1. 11% p.a.
2. 10% p.m.
3. 10% p.a
4. 12% p a.

Options 1. 1

2. 2
3. 3
4. 4

Q.17 Match List-I with List-II

List-I

List-II

(Items to be adjusted on admission) (side of account)

- | | |
|----------------------------------|--------------------------------------|
| (A) Existing goodwill | (i) Debit of capital account. |
| (B) Increase in value of assets. | (ii) Debit of revaluation account. |
| (C) Decrease in value of assets. | (iii) Credit of revaluation account. |
| (D) New partner capital. | (iv) Credit of capital account. |

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (IV), (B) – (III), (C) – (II), (D) – (I)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.18 At the time of death of a partner, undistributed Losses appearing in the balance sheet of the old firm is transferred to the capital account of:

1. Old partners in the gaining ratio
2. Old partners in old profit sharing ratio
3. Deceased partner only
4. Continuing partners in the new profit sharing ratio

Options 1. 1

2. 2
3. 3
4. 4

- Q.19** The goodwill based on capitalization of average profit method is valued at Rs 1,80,000. If Net Assets are Rs 8,20,000 then find the capitalized value of average profits.
1. Rs 1,80,000
 2. Rs 8,20,000
 3. Rs 10,00,000
 4. Rs 6,40,000

Options 1. 1

2. 2
3. 3
4. 4

- Q.20** Which is not usually included / mentioned in the contents of the Partnership Deed:-

1. All partners' residential addresses and their names.
2. Partnership commencement Date
3. Ratio in which Profit / Loss will be shared among the partners.
4. Date on which the Partnership firm will be dissolved.

Options 1. 1

2. 2
3. 3
4. 4

- Q.21** The new partner acquired the rights on admission into the firm. He acquires:

- (A) Rights in past profits of firm before admission.
- (B) Right to share in the future profits of the firm.
- (C) Right to share assets of the firm.
- (D) The right to carry on competing business.

Choose the correct answer from the options given below:

1. (B) and (C) only
2. (A), (B) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

- Q.22** Kim and Sim are partners in a firm sharing profits in 4:3 ratio. They admitted Pim as a new partner for $\frac{1}{4}$ share in the profits, which he acquired in the ratio of 3:2 from Kim and Sim. Determine the new profit sharing ratio of the partners.

1. 59:46:40
2. 46:11:59
3. 11:46:59
4. 59:46:35

Options 1. 1

2. 2
3. 3
4. 4

- Q.23** On the retirement of an existing partner, an increase in the value of a liability will be credited to :-

1. Retiring Partner Capital Account.
2. Profit and Loss Adjustment Account.
3. Liability Account.
4. Realization Account.

Options 1. 1

2. 2
3. 3
4. 4

Q.24 In a Journal Entry of Forfeiture of Shares, Securities Premium Account may be debited, when :-

1. Share are issued at premium and calls in arrears include premium.
2. Share are issued at premium and calls in arrears do not include premium.
3. Shares are issued at par and calls in arrears include premium.
4. Share are issued at par and calls in arrears do not include premium.

Options 1. 1

2. 2
3. 3
4. 4

Q.25 When goodwill has to be inferred from the arrangement of capital and profit sharing ratio, it is called.

1. Hidden goodwill.
2. Average profit method
3. Super profit method.
4. Capitalisation method.

Options 1. 1

2. 2
3. 3
4. 4

Q.26 Stock at the time of dissolution was appearing in books at Rs 50,000. Half of the stock was sold at a discount of 20% and the remaining was taken over by one of the partners at a 10% discount. What amount was received in cash at the time of realization of stock.

1. Rs 25,000
2. Rs 20,000
3. Rs 22,500
4. Rs. 45,000

Options 1. 1

2. 2
3. 3
4. 4

Q.27 Match List-I with List-II

List-I

List-II

(Name of ratios.)

(used for)

(A) Old ratio.

(i) Distribution of premium for goodwill.

(B) New ratio.

(ii) For adjustment of goodwill in death of partner.

(C) Sacrificing ratio. (iii) Sharing revaluation profits.

(D) Gaining ratio. (iv) Sharing future profits.

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.28 A and B are partners, sharing profits equally. Their fixed capitals were Rs 2,00,000 and Rs 3,00,000 respectively.

Interest on capital as provided under partnership deed @10% p.a was omitted. Select the correct option from the following:

1. A capital account will be debited by 25,000
2. A capital account will be debited by 5,000
3. B capital account will be debited by 5,000
4. B capital account will be debited by 25,000

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.29 The maximum limit for the number of partner is decided by.

- 1. Partnership deed.
- 2. Partnership act 1932.
- 3. Companies Act 2013
- 4. Central Government.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.30 According to which section of the partnership Act 1932, the dissolution of a partnership between all the partners of a firm is called the dissolution of the firm?

- 1. Section 32
- 2. Section 33
- 3. Section 38
- 4. Section 39

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.31 Which of the following will lead to dissolution of partnership firm by agreement?

- 1. Admission of a partner
- 2. With the consent of all the partners.
- 3. Death of a partner
- 4. Expiry of the period of partnership

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.32 A private company is one which.

- (A) restricts the right to transfer share..
 - (B) limits the number of members to 200.
 - (C) must have at least 2 persons.
 - (D) include a company which is subsidiary of public company.
- Choose the correct answer from the options given below:

- 1. (A), (B) and (D) only
- 2. (A), (B) and (C) only
- 3. (A), (B), (C) and (D)
- 4. (B), (C) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.33 When there's no Article of Association of its own, the following provision of table A will apply at the time of issue of shares..

- 1. period of 3 months must elapse between two calls
- 2. a minimum of 21 days notice is given to the shareholders to pay the amount.
- 3. a minimum of 14 days notice is given to the shareholders to pay the amount
- 4. the amount of call should be more than 25% of the face value of the share.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.34 When a partner retires in the middle of the year and his share of profit is calculated based on previous years' profit.

Which of the following account is to be debited?

- 1. Profit and loss appropriation account is debited.
- 2. Revaluation account is debited.
- 3. Profit and loss suspense account is debited.
- 4. Realisation Account Is Debited.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.35 In a Journal Entry of Forfeiture of Shares, Share Capital Account will be :-

- 1. Debited by the issue price of the number of the shares forfeited.
- 2. Debited by the face value of the number of the shares forfeited.
- 3. Debited by the called up value of the number of the shares forfeited.
- 4. Credited by the issue price of the number of the shares forfeited.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.36 Choose the correct statement :-

- 1. Subscribed Share Capital is shown in Balance Sheet, and included in the total with Authorised share capital of the company.
- 2. Subscribed Share Capital is shown in Notes to Accounts, and included in the total of Balance Sheet.
- 3. Subscribed Share Capital is shown in Balance Sheet, but not included in the total of Balance Sheet.
- 4. Subscribed Share Capital is shown in Notes to Accounts, but not included in the total of Balance Sheet.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.37 The number of shares to be issued to a vendor for consideration other than cash is calculated as follows:

- 1. Amount Payable / Application money
- 2. Amount Receivable / Allotment price
- 3. Amount Payable / Issue Price
- 4. Amount Receivable / Issue Price

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.38 Which of the following are shown under capital account in case capital of partner's are fixed?

- (A) Fresh capital introduced
- (B) Permanent capital withdrawn
- (C) Interest on capital
- (D) Amount of capital brought down from the previous year

Choose the correct answer from the options given below:

- 1. (A), (B) and (C) only
- 2. (A), (B) and (D) only
- 3. (A), (C), and (D) only
- 4. (B), (C) and (D) only

Options 1. 1

- 2. 2

3. 3

4. 4

Q.39 Match List-I with List-II

List-I

- (A) Payment of loans due to partners
- (B) For settlement of partners' accounts, in case their capital account shows a debit balance
- (C) For settlement of loan by a firm to a partner
- (D) For settlement of any unrecorded liability

List-II

- (I) Realisation A/c
Dr To Bank A/c
- (II) Bank A/c Dr To
Loan to Partners A/c
- (III) Bank A/c Dr To
Partner's Capital A/c
- (IV) Partner's Loan
A/c Dr To Bank A/c

Choose the correct answer from the options given below:

1. (A) – (IV), (B) – (III), (C) – (II), (D) – (I)
2. (A) – (IV), (B) – (II), (C) – (III), (D) – (I)
3. (A) – (III), (B) – (II), (C) – (IV), (D) – (I)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2

3. 3

4. 4

- Q.40 In case of over subscription, the directors may**
- (A). Accept some applications in full and reject excessive applications.
- (B). They can make pro-rata allotment to all.
- (C). They can adopt a combination of the above two alternatives.
- (D). They can make preferential allotment to some applicants.

1. Only (A)
2. Only (A), (B) and (C)
3. Only (A) and (B)
4. Only (B)

Options 1. 1

2. 2

3. 3

4. 4

- Q.41 At the time of dissolution, a firm transferred Rs. 100,000 Assets to the realization account and 50% of the assets were taken over by Kiran at 20% discount. How much net assets were taken over by Kiran?**

1. Rs.50,000.
2. Rs.45,000.
3. Rs.30,000
4. Rs.40,000.

Options 1. 1

2. 2

3. 3

4. 4

- Q.42 The steps involved in the calculation of goodwill under the super profit method are:**
- (A) Calculate goodwill by multiplying the super profit by number of years purchase.
- (B) Calculate normal profit.
- (C) Calculate Average Profit
- (D) Calculate super profit.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (B), (D), (C)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.43 In which of the following case court can order dissolution of a partnership firm.

1. On the death of a partner
2. On the expiry of term of partnership
3. When business cannot be carried on except at a loss.
4. When a partner become insolvent.

Options 1. 1

2. 2

3. 3

4. 4

Q.44 Executor account is prepared on

1. Admission of partner,
2. Retirement of partner.
3. Changes in profit sharing ratio,
4. Death of a partner.

Options 1. 1

2. 2

3. 3

4. 4

Q.45 Himanshu withdrew Rs 2,500 at the end of each month. The partnership deed provides for charging of interest on drawings @ 12% p.a. Calculate interest on Himanshu's drawings for the year ended March 31, 2017.

1. Rs 1,950
2. Rs 1,650
3. Rs 3,600
4. Rs, 1,800

Options 1. 1

2. 2

3. 3

4. 4

Section : Analysis of Financial Statements

Q.46 Net Profit after tax Rs. 60,000; 10% Long-term debt Rs. 10,00,000; and Tax rate 40%. The net profit before interest and tax is.

1. Rs. 1,50,000
2. Rs. 2,50,000.
3. Rs.200,000.
4. Rs.100,000

Options 1. 1

2. 2

3. 3

4. 4

Q.47 Which of following is not Cash Inflows from Investing Activities

1. Cash receipt from disposal of fixed assets including intangibles
2. Interest received in cash from loans and advances
3. Dividend received from investments in other enterprises.
4. Cash proceeds from the sale of goods

Options 1. 1

2. 2

3. 3

4. 4

Q.48 Dividend received for a trading (non financing) organization is.

1. Operating activity
2. Investing activity.

3. Financing activity
4. Non-cash activity

- Options
1. 1
 2. 2
 3. 3
 4. 4

Q.49 Match List-I with List-II

List-I

(Book/Theory proposed/Characteristic, etc.)

List-II

(Author/Thinker/Name of Theory, etc.)

- | | |
|---------------------------|---|
| (A) Comparative statement | (I) Study the operational results over the series of years. |
| (B) Common size statement | (II) Express the relationship between various items of financial statement. |
| (C) Trend analysis | (III) Study the relationship between two or more years. |
| (D) Ratio analysis | (IV) Express each item as a percentage of the common base or item. |

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

- Options
1. 1
 2. 2
 3. 3
 4. 4

Q.50 The analysis of financial statements does not serve the purposes of

1. Satisfying the statutory requirement
2. Assessing the current profitability and operational efficiency of the firm as a whole as well as its different departments so as to judge the financial health of the firm
3. Ascertaining the relative importance of different components of the financial position of the firm.
4. Identifying the reasons for change in the profitability/financial position of the firm.

- Options
1. 1
 2. 2
 3. 3
 4. 4

Section : Computerized Accounting Systems

Q.51 What is the role of codification in the grouping of accounts within a CAS?

1. To minimize tax liabilities
2. To eliminate the need for data entry
3. To maintain hierarchical relationships between groups and subgroups
4. To simplify financial statements only

- Options
1. 1
 2. 2
 3. 3
 4. 4

Q.52 What type of coding uses abbreviations or letters to represent specific information like "SJ" for Sales Journal?

- (A) Sequential Code
- (B) Block Code
- (C) Mnemonic Code
- (D) Numerical Code

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (C) only
4. (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.53 What is the purpose of the Data Audit feature in CAS software?

- (A) To generate financial reports
- (B) To identify changes made in the original data and by whom
- (C) To detect viruses in the system
- (D) To allow access to confidential reports

Choose the **correct** answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (D) only
4. (B) only

Options 1. 1

2. 2
3. 3
4. 4

Q.54 How does Data Vault (encryption) enhance the security of CAS data?

1. By storing data on cloud servers
2. By converting data into unreadable **code** to prevent misuse
3. By creating backup files automatically
4. By disabling external devices

Options 1. 1

2. 2
3. 3
4. 4

Q.55 Which type of code assigns numbers or letters in a consecutive order to documents like invoices or cheques?

1. Block Code
2. Mnemonic Code
3. Sequential Code
4. Functional Code

Options 1. 1

2. 2
3. 3
4. 4